first half-year results 2025

Utrecht, 24 July 2025



today's agenda

business highlights 1

financial development 2

strategy in action 3

outlook 4

Q&A 5

Stéphane Simonetta



CEO

Frans den Houter



CFO

Rutger Relker



director investor relations

business highlights



Stéphane Simonetta
chief executive officer

key message

1. continued **end market softness** and **increased uncertainty**
2. proactive steps taken to **protect EBITA margin** and **optimise free cash flow**
3. **strategic progress** with three value-accretive **acquisitions,** two in the USA for industry and building, and one intended in Southeast Asia for semicon
4. driving **divestments programmes** to enhance leadership positions and simplify portfolio within building and industry
5. deploying '**thrive 2030**' strategic actions

adjusting our full year outlook to reflect current market condition

first half-year 2025 performance

organic revenue decline at 3.2%
building moderate growth at 1.4%, industry decline at 4.9%, semicon decline at 13.4%

EBITA margin at 13.5%
building stable, industry resilient, semicon down

added value sustained at 63.3%

EPS down at 1.38 EUR

free cash flow improving at EUR 56 million, inventory reduction by EUR 110 million

capital expenditure reduced to EUR 100 million, continue to focus on high return investments

EBITA margin under pressure, improvement in free cash flow

building | operational development

revenue

- **half-year organic revenue growth 1.4%**
- 2Q organic revenue growth 1.0%

growth

- growth in America and APAC
- commercial and industrial valves, balancing and control valves, prefab solutions for data centres

challenges

- Germany and France continued to be soft, slowdown in Benelux and East Europe
- connection systems product line
- market uncertainty due to tariffs

performance

- **EBITA margin stable at 12.9%** with 2Q lower than 1Q
- improvement in North America, offset by challenges in connection systems Europe
- focus on innovation and business development synergies at segment level
- organic revenue growth progress in end markets (data centres, prefab solutions, boiler room technology) and geographies (Americas, Middle East, APAC)
- footprint optimisation on track with major plant closure in UK
- inventory reduction on track
- corrective operational excellence actions taken to address short term challenges in Europe



prefabricated boiler rooms



grooved coupling innovation

operational excellence initiative benefits offset by lower-than-expected organic revenue growth

industry | operational development

revenue

- **half-year organic revenue decline 4.9%**
- 2Q organic revenue decline 2.9%

growth

- aerospace, power generation, defence
- APAC, Middle East

challenges

- automotive continued to be soft
- French and German industrial markets remained soft
- high uncertainty in industrial markets due to tariffs

performance

- **sustained high EBITA margin 16.8%,** with a better 2Q vs. 1Q
- surface technologies remained strong
- industrial products and stamping & extrusion lower
- footprint optimisation on track
- corrective operational excellence actions taken to address short term challenges
- strategic alignment with key OEM customers
- Paulo integration on track, consolidated per May 2025, accretive to growth and EBITA margin



HIP capacity expansion



specialised coatings

improved organic revenue growth and EBITA margin in 2Q, resilient performance

semicon | operational development

revenue

- **half-year organic revenue decline 13.4%**
- 2Q organic revenue decline 15.5%

growth

- mechatronic technologies
- defence programme

challenging

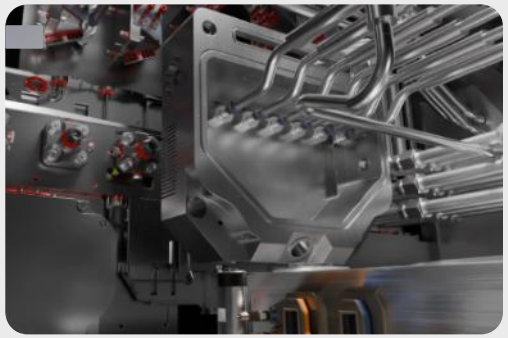
- frames & modules, machine conditioning
- inventory adjustments from our customers
- lower demand due to customer uncertainty

performance

- **sustained EBITA margin 11.5%,** with a better 2Q vs. 1Q
- construction of new location in Dronten (NL) on track, equipment being installed
- focus on innovation; investment in new, uniqueness-enhancing technologies, design to value
- intention to acquire GVT in Southeast Asia
- strategic alignment with key OEM customers
- operational excellence ongoing to reduce costs without compromising long-term capacity



new state-of-art expansion



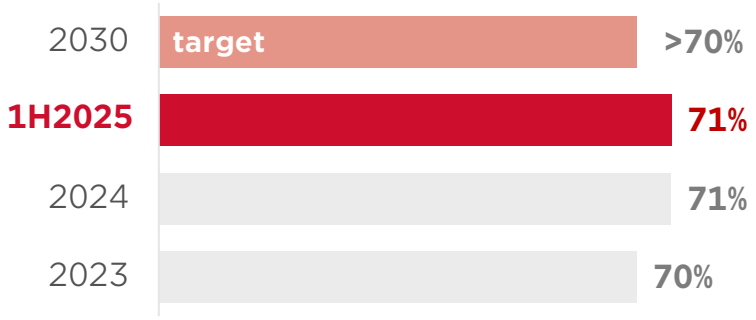
integrated modules

continued lower demand from customers in 2Q impacting EBITA margin

environmental performance

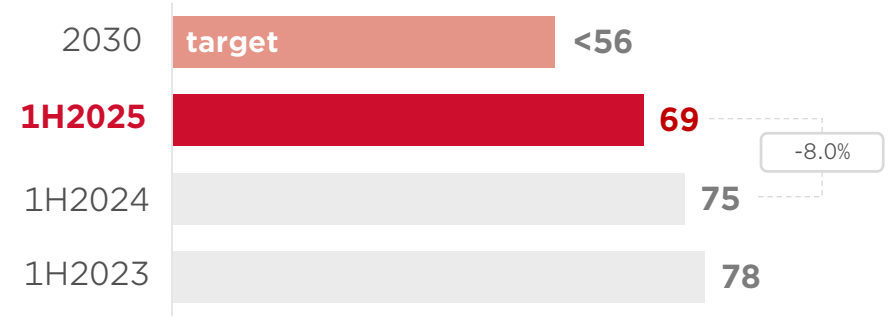
SDG rate
(in %)

71%



scope 1 and 2 CO_2 intensity
(tonnes of CO2 / EUR million revenue)

69



we have made great progress on environmental performance

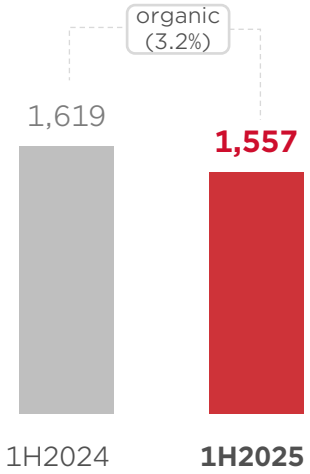
financial development



Frans den Houter
chief financial officer

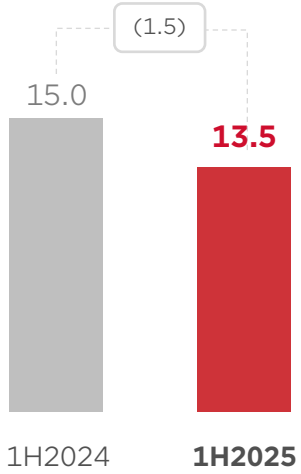
financial development

revenue
(in EUR million)



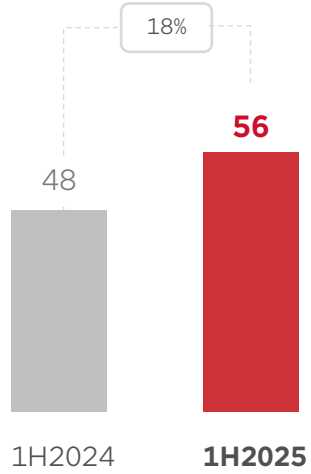
- building 1.4%
- industry (4.9%)
- semicon (13.4%)

EBITA margin
(in % before exceptionals)



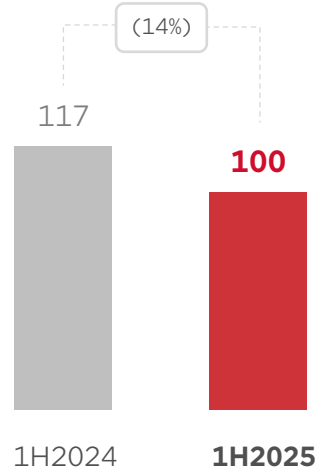
- added-value 63.3%
- EBITA EUR 210 million
- net profit before amortisation EUR 151.4 million

free cash flow
(in EUR million before exceptionals)



- EBITDA move EUR (29.8) million
- NWC move EUR +18.8 million
- CAPEX cash out move EUR +18.4 million

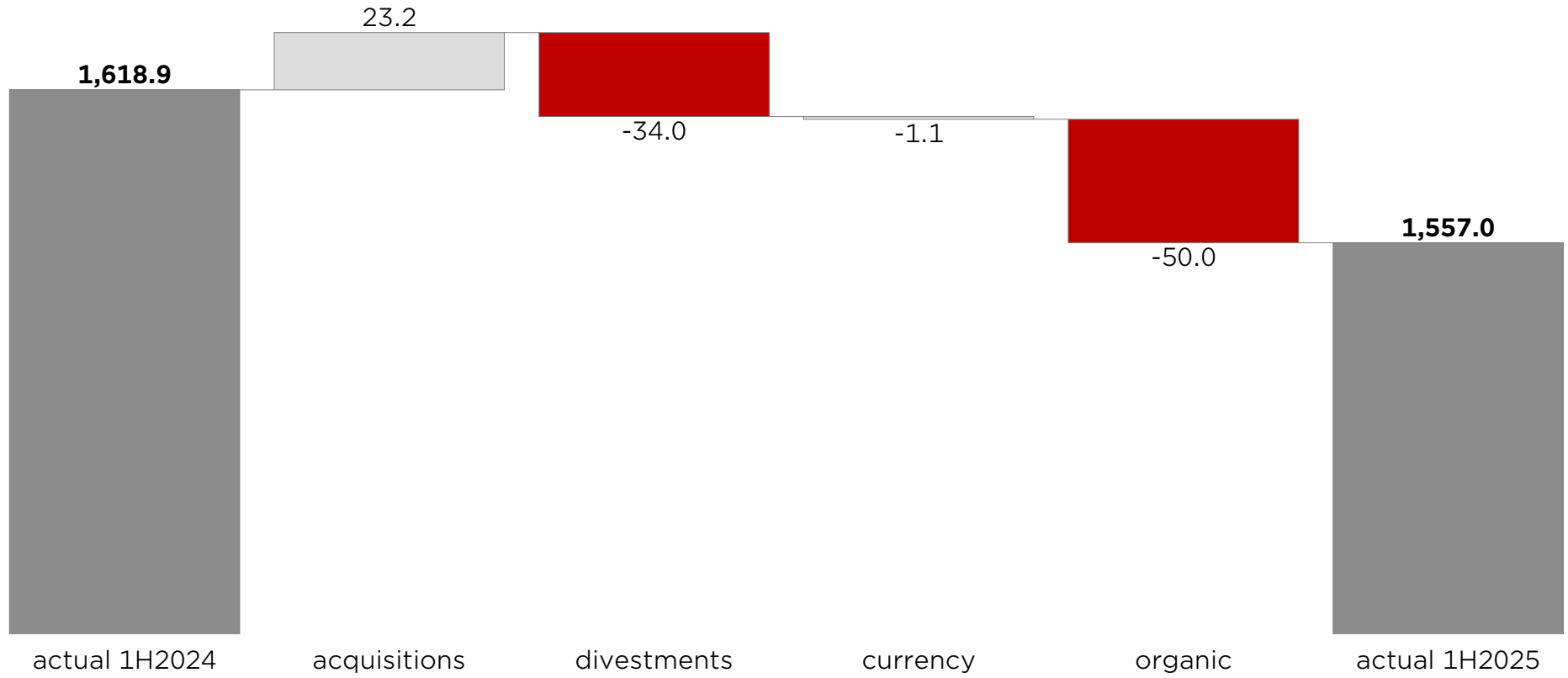
capital expenditure
(in EUR million)



- capital expenditure decreased by 14%
- supporting additional capacity, geographical expansions, innovation and business development plans

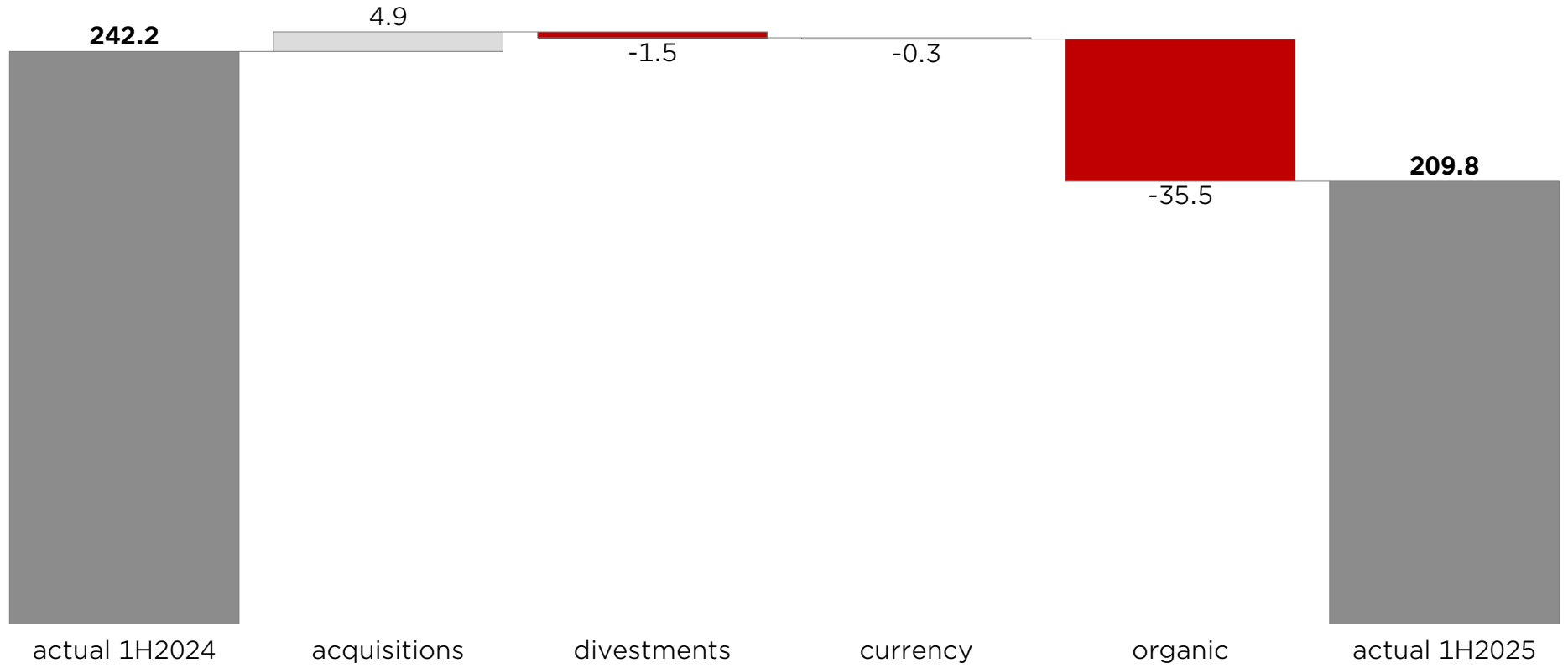
first half-year results impacted by challenging markets

revenue bridge



organic decline driven by headwinds in Europe and lower demand in automotive and semicon

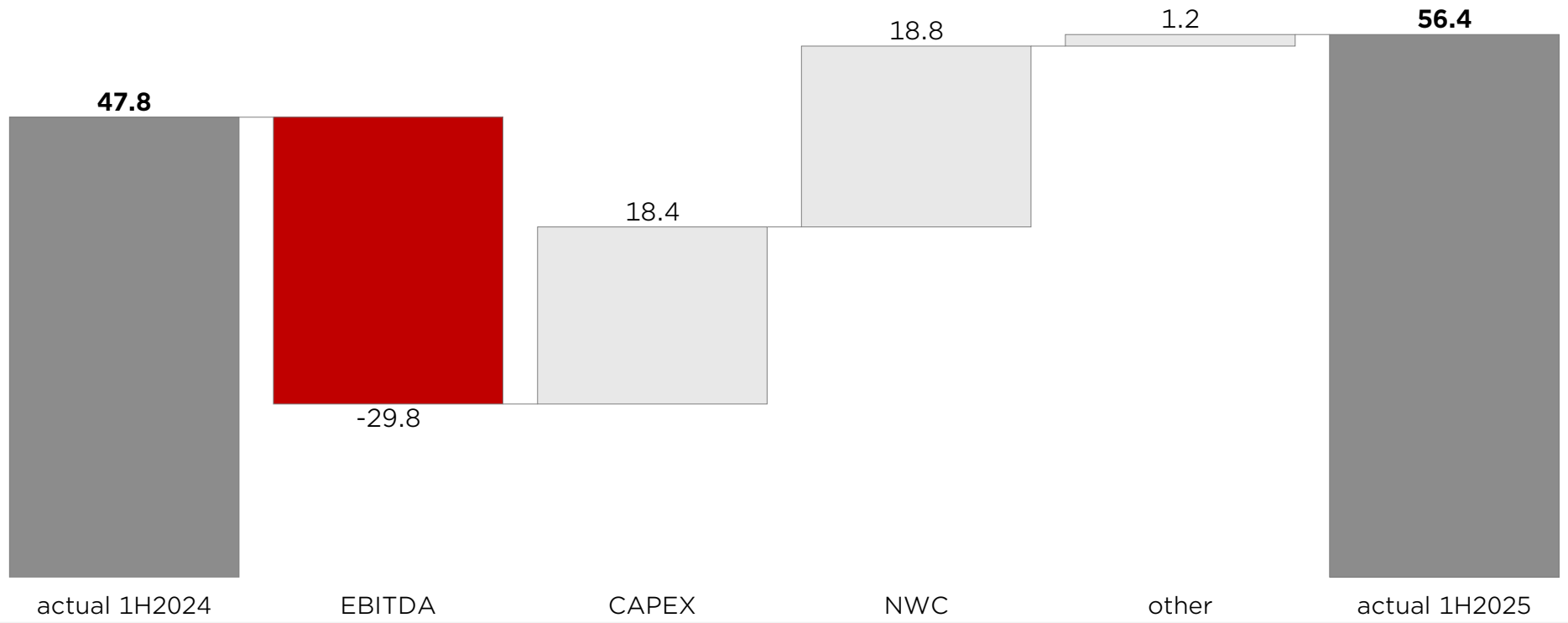
EBITA bridge



before exceptionals

organic decline mainly driven by drop-through

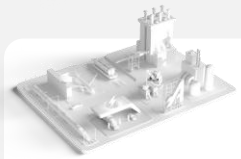
free cash flow bridge



before exceptionals

lower EBITDA offset by reduced capital expenditure and improved net working capital

segment reporting

	 building	 industry	 semicon	holding | eliminations
revenue (in EUR million)	801 1H2024: 824	546 1H2024: 549	220 1H2024: 254	(9.6) 1H2024: (7.9)
organic revenue growth (% of revenue)	1.4% 1H2024: (5.9%)	(4.9%) 1H2024: (6.4%)	(13.4%) 1H2024: 10.0%	
EBITA (in EUR million)	103 1H2024: 107	92 1H2024: 102	25 1H2024: 37	(10.4) 1H2024: (3.6)
EBITA margin (% of revenue)	12.9% 1H2024: 13.0%	16.8% 1H2024: 18.7%	11.5% 1H2024: 14.4%	
CAPEX (in EUR million)	25 1H2024: 43	51 1H2024: 51	24 1H2024: 22	

building stable, industry resilient, semicon down

balance sheet items

net debt
(in EUR million)

971

1H2024: 751

leverage ratio
(net debt / EBITDA)

1.6

1H2024: 1.2

equity
(in EUR million)

2,456

1H2024: 2,566

solvability
(total equity as a % of total assets)

55.7

1H2024: 59.6

capital employed
(in EUR million)

3,427

1H2024: 3,334

ROCE
(before exceptionals)

13.3

1H2024: 15.0

net working capital
(in EUR million)

770

1H2024: 818

days net working capital

89

1H2024: 91

strong balance sheet supports ‘thrive 2030’

strategy in action



Stéphane Simonetta
chief executive officer

‘thrive 2030’ - strategic actions

1 profitable growth

accelerate organic growth

- business development
- geographical expansion / double revenue North America
- innovative solutions

2 leadership positions

optimise and simplify portfolio

- **acquisitions** in
  - building (USA, portfolio)
  - industry (USA, end-market diversification)
  - semicon (Southeast Asia, portfolio)
- **divestment** of activities with low market attractiveness, ability to win, fit within Aalberts

3 the Aalberts way

evolve operating system

- customer-centric supply chain
- operations excellence
- functional excellence

4 sustainable commitments

drive sustainable entrepreneurship

- health and safety
- future-proof workforce
- net zero carbon roadmap

refocus. rebalance. recharge.

‘thrive 2030’ - deployment

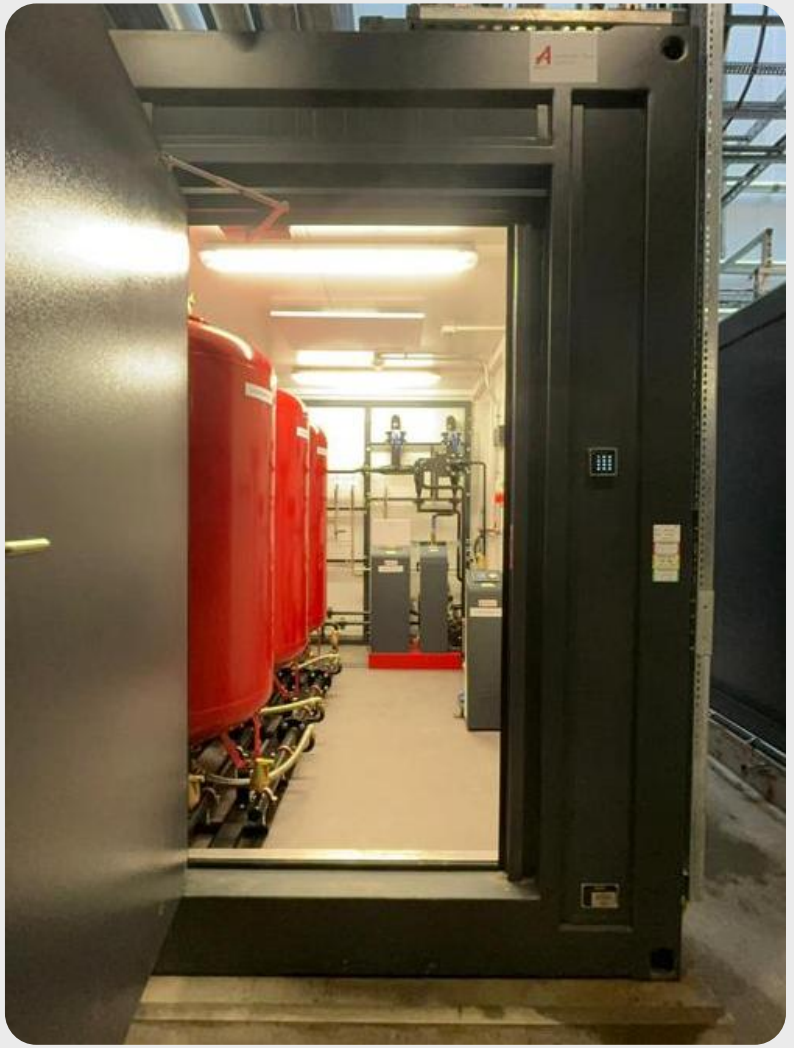
strategic actions 2025-2030	status	1H2025 progress
1 **profitable growth**		» building: USA, prefabricated solutions, data centres, boiler room technology » industry: USA, aerospace, defence » semicon: innovation, system integration with design-to-value
2 **leadership positions**		» building footprint expansion USA: acquired **[Geo-Flo]** » industry footprint expansion USA: acquired **[Paulo]** » semicon footprint expansion Southeast Asia: intention to acquire **[GVT]** » driving divestments in building and industry segments
3 **the Aalberts way**		» footprint optimisation: reduction **[1 major site]**, target 108[1] by 2026 » DIO **[87]**, target <90 days in 2025, <85 days in 2026 » drive cost-out excellence and inventory optimisation
4 **sustainable commitments**		» SDG **[71%]**, target >70% » scope 1 and 2 CO_2 reduction **[69],** target <56 by 2030 » succession planning, talents trained and developed **[395]**

1; excluding acquisitions, including divestments

organic growth initiatives – data centres



40 MW data centre Hyperscale - London
prefabricated skits, integrate critical dynamic pressure maintenance, vacuum degassing, and side-stream filtration systems



portfolio optimisation - acquisitions

Paulo
industry

closed May 2025
integration underway

industrial heat treatment provider and related service

annual revenue approx.
USD 105 million



GVT
semicon

intention to acquire July 2025

precision engineering solutions and service provider of components, mechatronics, assembly and testing

annual revenue approx.
SDG 160 million



transaction completion expected by end of 2025

Geo-Flo
building

closed July 2025

pumping solutions for hydronic-based HVAC systems, focus on geothermal heat pump technology

annual revenue approx.
USD 15 million



value accretive acquisitions, enhancing portfolio strength and market reach

Grand Venture Technology (GVT) – intention to acquire

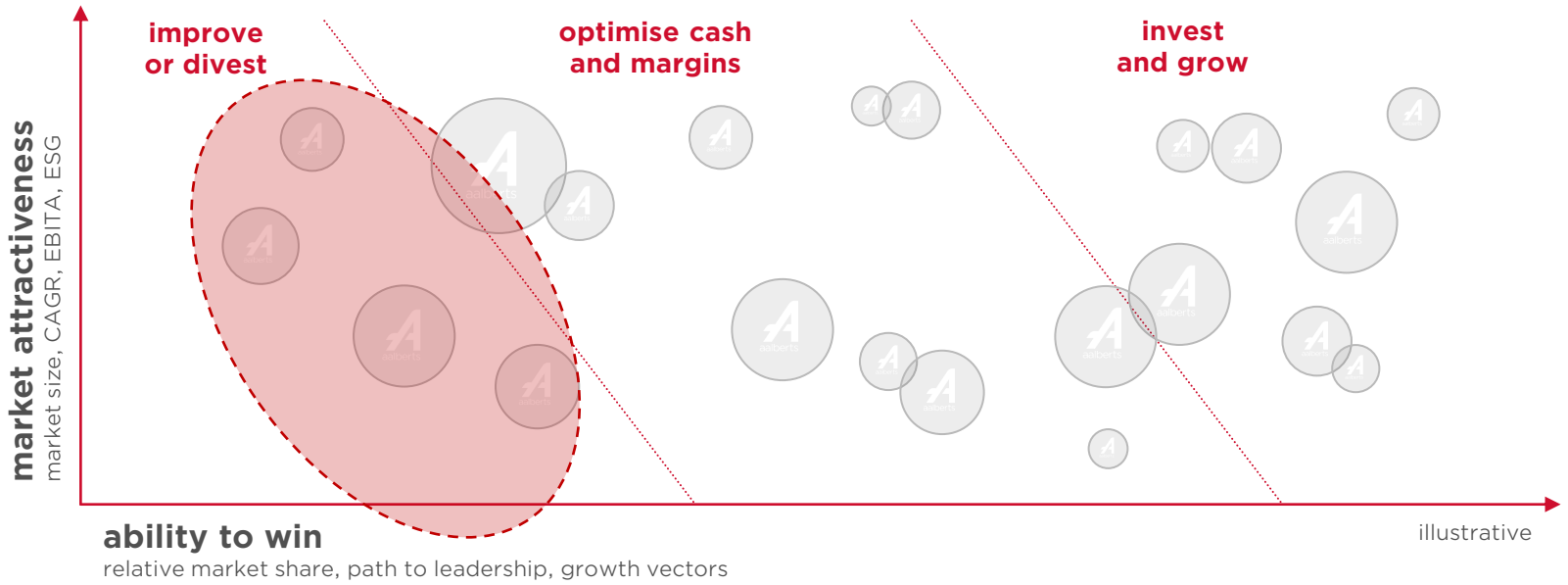


- Singapore headquartered with **6 production sites** across Singapore, Malaysia, China, approximately 1,800 FTE, **SDG 160 million (EUR 108 million) revenue** in 2024
- **following blue-chip customers** with their supply chain focus in the region
- **driving growth, enhancing leadership position** in fast-growing Southeast Asian semicon market
- **complementary** semicon engineering capabilities and technologies
- **value creation** through high single-digit organic growth, an attractive margin profile, and synergy potential that enhances profitability and cash generation

entry into fast-growing Southeast Asian semicon market

divestment programme

EUR 400-500 million revenue within building and industry segments



driving divestments to optimise and simplify portfolio

operational excellence – 1H2025 progress



major site closure UK

scenario planning & tariffs taskforce



EUR 110 million reduction in inventories

DIO 87 days (-10 days)



~ EUR 10 million saving

improved operational productivity

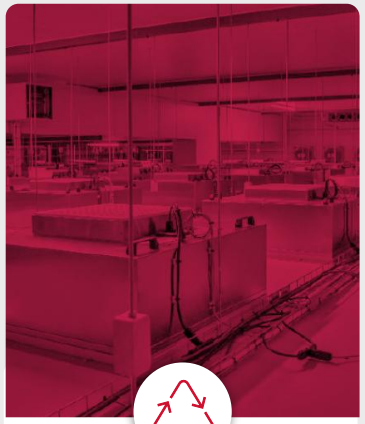


14% reduction

focus on assets utilisation in building segment

building capability driving continuous improvement culture

our decarbonisation levers



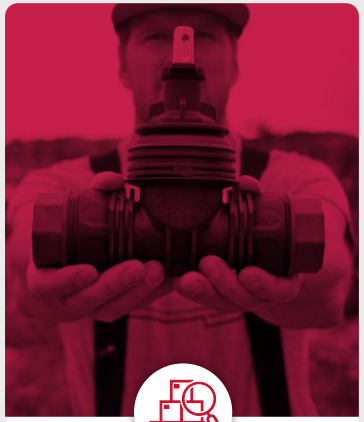
energy efficiency



renewable energy



electrification



smart product design



circular solutions



value chain collaboration

our decarbonisation levers to be net zero carbon by 2050, or earlier

short term actions

1. pursue **organic growth initiatives** in prioritised end markets and geographies
2. continue **operational excellence programmes** of EUR 54.8 million with an annual benefit of EUR 30 million (2024: EUR 10 million)
3. further **cost-out excellence** for our building segment with footprint optimisation, operations productivity and purchasing
4. continue **inventory optimisation** programmes across our three segments to **reduce DIO to <90 in 2025**
5. deploy **lean capex** approach across our three segments to improve our capital employed and **remain within EUR 200-225** million capital expenditure
6. drive **portfolio optimisation with divestments** within building and industry segments

strong foundation, clear priorities and leadership focus on execution

2025 outlook



full year 2025 outlook

- based on the current end market dynamics and uncertainties
- we do not expect an organic revenue growth improvement in the second half of the year
- consequently, we are adjusting our full year EBITA margin outlook to 13-14%

we continue to focus on actions to protect our EBITA margin and optimise our free cash flow

aalberts
mission critical technologies



questions and answers

aalberts.com/investors

aalberts
mission critical technologies

appendix



aalberts.com/investors

strategic actions

1 profitable growth

- focus on three end markets, delivering customer-centric solutions
- drive organic revenue growth with business development and footprint optimisation
- sustain >20% innovation rate with new products, solutions and digital offerings
- double revenue in North America by organic growth, operational excellence and M&A

2 leadership positions

- active portfolio management focusing on market attractiveness and ability to win
- strengthen positions in industry (USA), semicon (South-East Asia, portfolio) and building (USA, portfolio) through acquisitions, EUR 800-1,000 million revenue
- additional divestment programme EUR 400-500 million revenue

3 the Aalberts way

- invest in customer-centric supply chain with continuous improvement culture
- improve plants SQDICP performance (Safety, Quality, Delivery, Inventory, Cost, People)
- drive operations productivities, purchasing cost savings and inventory optimisation
- drive functional excellence, global scale and synergies across business segments

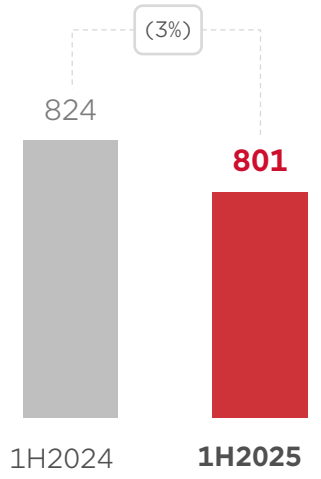
4 sustainable commitments

- drive health & safety and well-being for our employees
- invest in a future-proof workforce by developing talents and adding capabilities
- sustain SDG impact >70% total revenue, capitalise market opportunities
- commit to net zero carbon in 2050 or earlier, execute sustainability improvement plans

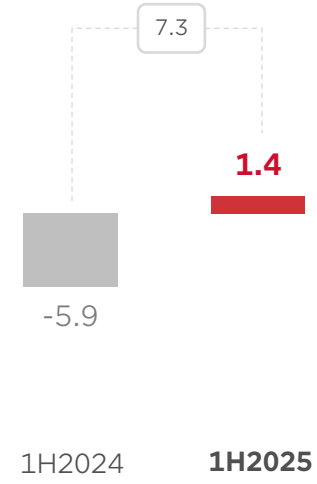
refocus. rebalance. recharge.

building segment

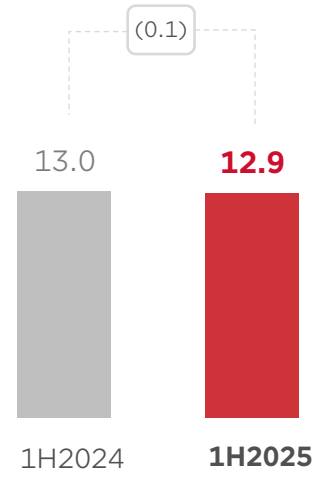
revenue
(in EUR million)



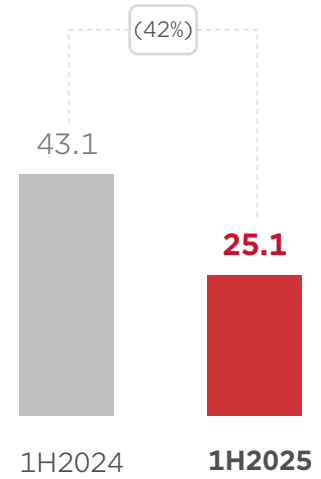
organic revenue growth
(% of revenue)



EBITA margin
(% of revenue)

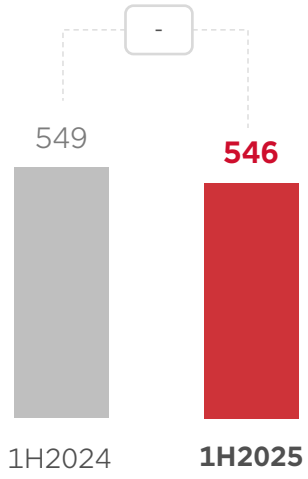


capital expenditure
(in EUR million)

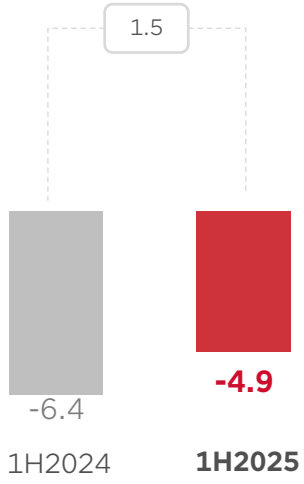


industry segment

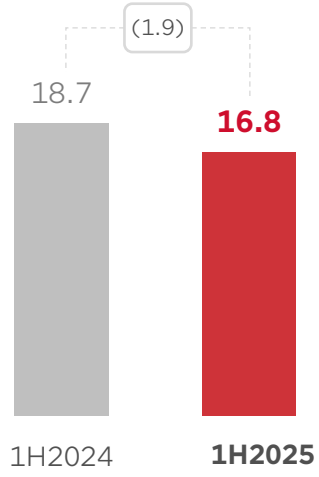
revenue
(in EUR million)



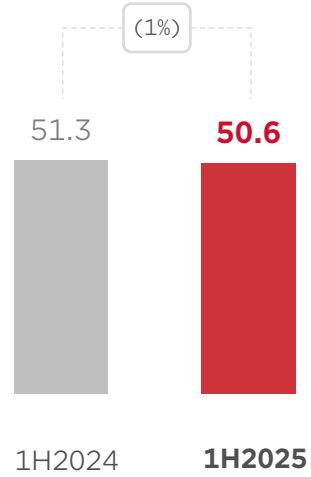
organic revenue growth
(% of revenue)



EBITA margin
(% of revenue)

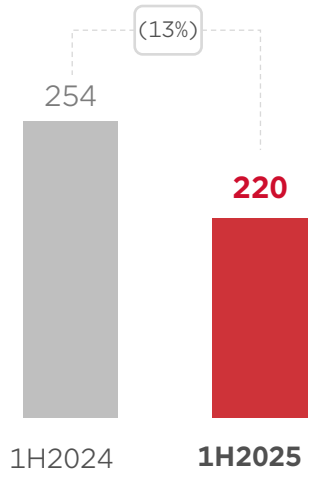


capital expenditure
(in EUR million)

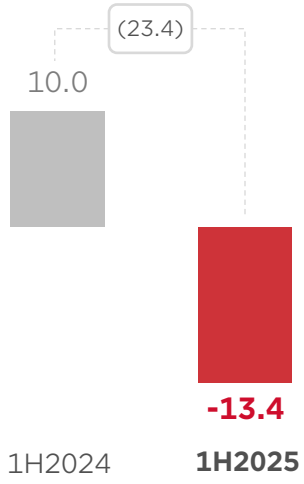


semicon segment

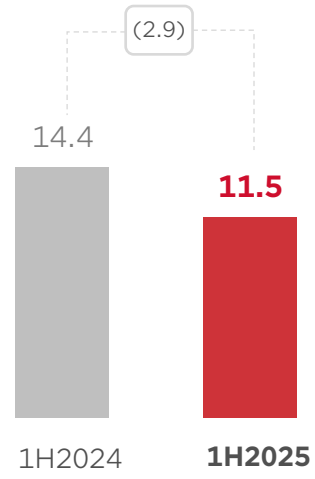
revenue
(in EUR million)



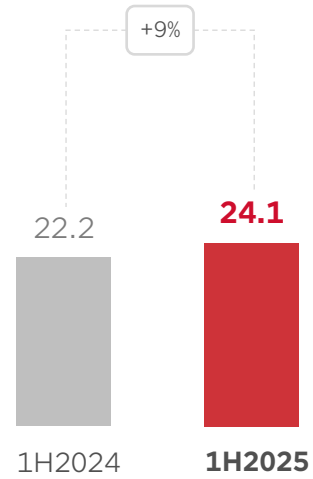
organic revenue growth
(% of revenue)



EBITA margin
(% of revenue)

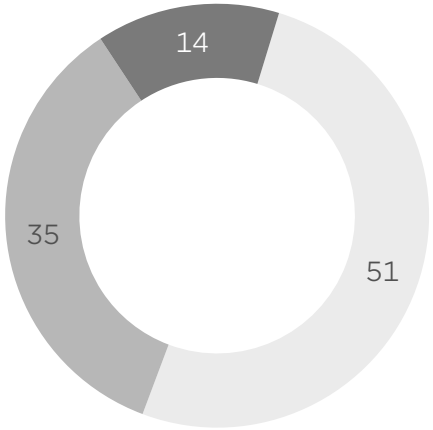


capital expenditure
(in EUR million)



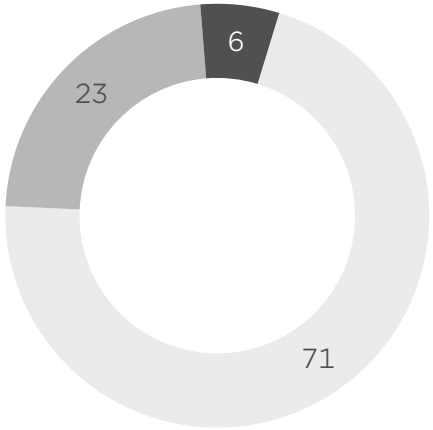
revenue split

revenue per end market
(in %)



building **51%**
industry **35%**
semicon **14%**

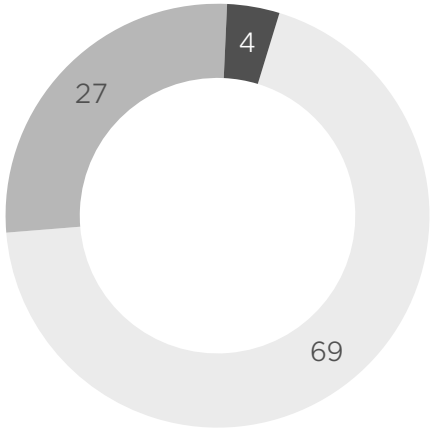
revenue per region
(in %)



Europe **71%**
America **23%**
APAC, Middle East, Africa **6%**

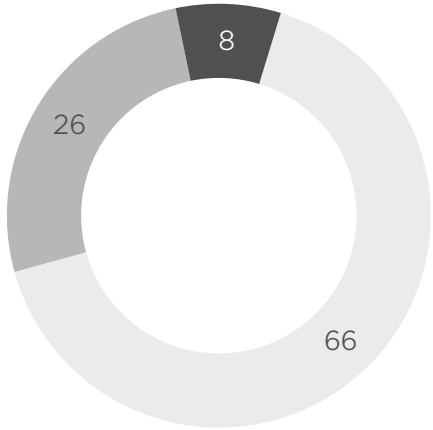
regional revenue per segment

building
(in %)



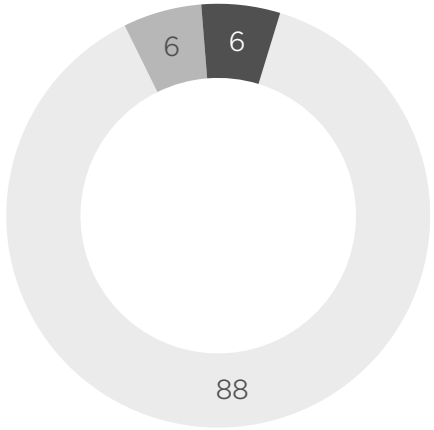
Europe **69%**
America **27%**
APAC, Middle East, Africa **4%**

industry
(in %)



Europe **66%**
America **26%**
APAC, Middle East, Africa **8%**

semicon
(in %)



Europe **88%**
America **6%**
APAC, Middle East, Africa **6%**

free cash flow

in EUR million (before exceptionals)	1H2025	1H2024	delta
EBITDA	287.5	317.3	(29.8)
gain on disposal of subsidiaries	-	(0.6)	0.6
result on sale of equipment	0.1	(0.7)	0.8
changes in provisions	(19.7)	(2.2)	(17.5)
changes in working capital	(112.9)	(131.7)	18.8
cash flow from operations	**155.0**	**182.1**	**(27.1)**
purchase of property, plant and equipment	(109.5)	(127.9)	18.4
purchase of intangible assets	(9.8)	(11.7)	1.9
proceeds from sale of equipment	6.1	5.3	0.8
free cash flow	**41.8**	**47.8**	**(6.0)**
exceptional EBITDA	-	-	-
exceptional changes in working capital	-	-	-
exceptional changes in provisions	14.6	-	14.6
free cash flow before exceptionals	**56.4**	**47.8**	**8.6**

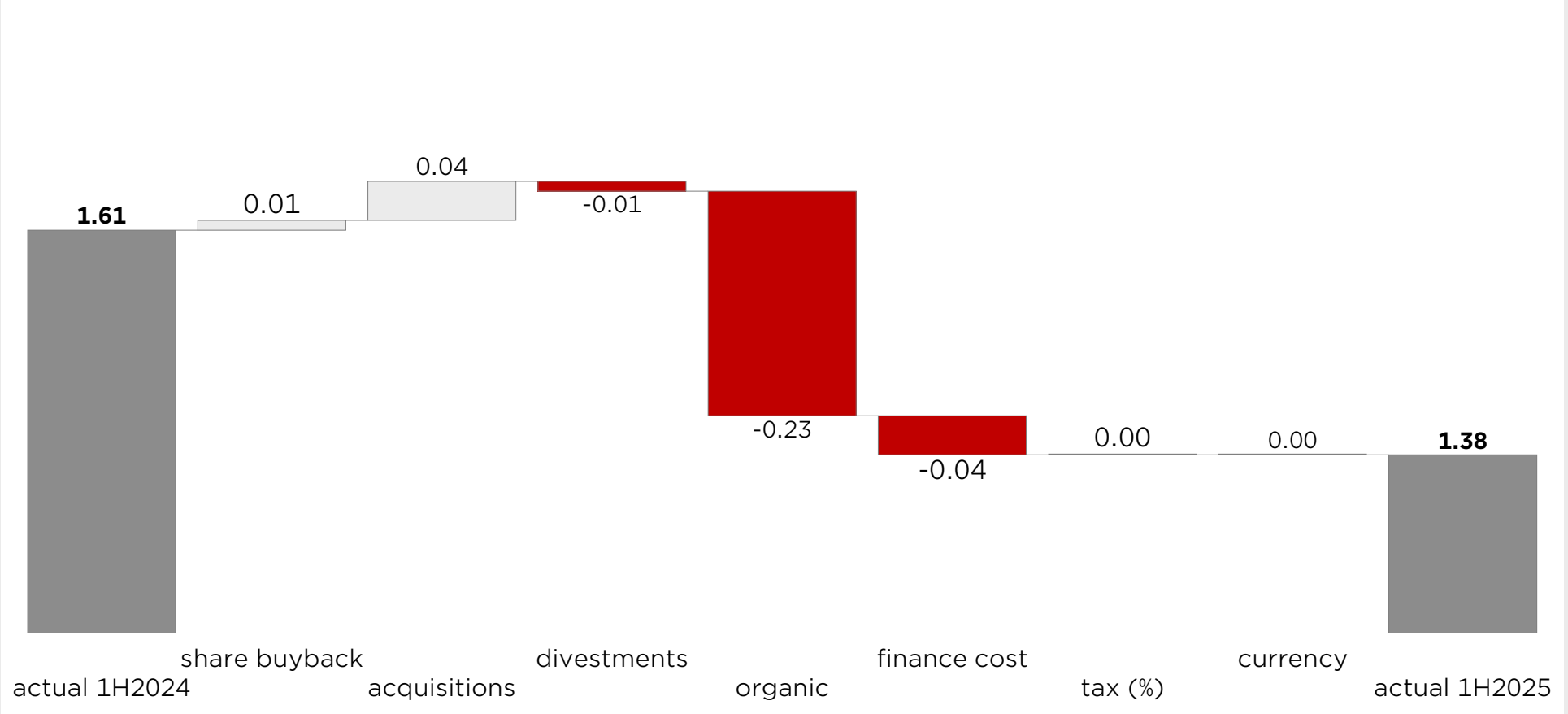
condensed consolidated income statement

in EUR million (before exceptionals)	1H2025	1H2024
revenue	1,557.0	1,618.9
EBITDA	287.5	317.3
depreciation	(77.7)	(75.1)
EBITA	209.8	242.2
net finance cost	(18.5)	(13.8)
income tax expense	(40.2)	(49.9)
non-controlling interests	0.3	(0.9)
net profit before amortisation	**151.4**	**177.6**
EPS before amortisation and exceptionals (in EUR)	**1.38**	**1.61**

condensed consolidated balance sheet

In EUR million	30.6.2025	31.12.2024	30.6.2024
total non-current assets	2,936.8	2,842.1	2,787.5
total current assets	1,476.3	1,387.9	1,515.4
total assets	**4,413.1**	**4,230.0**	**4,302.9**
total equity	2,456.3	2605.1	2,566.2
total non-current liabilities	1,062.8	617.7	674.4
total current liabilities	894.0	1,007.2	1,062.3
total equity and liabilities	**4,413.1**	**4,230.0**	**4,302.9**
net debt	971	597	751
leverage ratio: net debt / EBITDA (12-months-rolling)	1.6	1.0	1.2
net working capital	770	681	818
days net working capital	89	80	91
solvability (total equity as a % of total assets)	55.7	61.6	59.6
return on capital employed	13.3	14.7	15.0

EPS bridge


1.61
0.01
0.04
-0.01
-0.23
-0.04
0.00
0.00
1.38
actual 1H2024
share buyback
acquisitions
divestments
organic
finance cost
tax (%)
currency
actual 1H2025

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